# Amazon | reviewed committee memo

Decision date reference: September10 2026. Prepared October19 2026. Fund holds no AMZN. AI-assisted educational analysis; student review required.

## Decision and committee ask

DO NOT INITIATE at the dated $251.89 price. There is no validated positive purchase case, and the corrected funding plan fails. Keep a research watchlist if useful, without authorizing capital. This is neither a short recommendation nor proof of issuer default or80% mispricing.

## Evidence and valuation

The previous $40.74 headline was an incomplete core subtotal. Correcting terminal depreciation/rental policy, known July debt and cash transactions yields $39.05. This excludes strategic investment value and is diagnostic because base funding fails. With reported investment carrying references, results are $57.06-$61.59 under zero versus22%-of-preexisting-gross haircut cases. Those cases are not fair-value bounds or issuer tax estimates.

WACC is 11.67%, g2.50%, diluted proxy 10,920.314 million. Core operating EV is $505.8bn; core equity $426.4bn. Terminal PV represents 111.2% of EV because explicit PV is negative. No complete low/high investable range is available: only high passes funding, with core reference $58.06.

## Operating outlook and accounting

AWS/advertising prospects do not establish infrastructure returns. Inherited consolidated growth16% fading to8%, gross margin51% to54%, and net cash capex220/230/220/210/200bn are conditional judgments; later-year taper is not guidance. Segment profitability is not independently forecast. Signed FCFF excludes borrowing/reserve sales. Operating leases stay rental costs; finance-lease assets are investment and financing claims deducted once. Taxes are a22% unlevered provision-as-cash proxy.

## Corrections, risks and funding

The reviewed forecast includes $39.767bn H1 acquisition/nonmarketable-investment cash uses, $21.3bn subsequent OpenAI funding and $25bn subsequent notes. Including both cash uses and funding causes base cash-floor breaches in2028-2029. They are liquidity diagnostics, not viable negative cash assets. The recurring-cost ratio also excludes only the specifically identified$2.5bn FY2025 FTC settlement; other charges/regulatory risks are retained.

FY2031 FCFF is $83.03bn after policy-consistent D&A and rent. Terminal investment still falls materially versus2030, so normalization is favorable, unproven model risk. The original low DCF was not caused by perpetual maintenance of peak infrastructure spending.

Gross strategic carrying references total$246.195bn including the subsequent purchase; its cash payment is deducted once. Tax bases, restrictions, commercial correlations and commitments prevent an asserted net fair value. Annual stub accrual, dated balances and dilution proxies also limit precision.

## Comparable valuation and decision conditions

Qualified WMT/MSFT P/E references are $196.70-$277.69. EV/revenue core references $74.68-$722.99; EV/EBITDA $204.75-$218.33. Periods, business mix and investment earnings differ; EV references exclude Amazon strategic assets. No unsupported method averaging is used.

Reopen only after documented funding covers commitments, operating returns support required reinvestment, an exact dated asset/tax/share bridge is defensible, and downside-supported value offers a student-defended margin of safety against a new dated price. Monitor disclosures on infrastructure cash returns, funding and investments. See Financial Review and Validation-and-AI-Use for limitations, tests and pending independent work.

Sources: Amazon FY2025 10-K and Q2 2026 10-Q (statements, Note2 investments/subsequent funding, debt note); MSFT/WMT annual filings; September10 historical closes. Direct URLs, dates and locators: data/source_register.csv; docs/financial-review.md.